

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester I Examination, 2016-17

Paper No. BCH-114: Monetary Theory

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Define Money and explain its main characteristics and its evils. [14]

OR

What do you understand by “money”? Discuss the importance of money in a socialist economy. [14]

Question 2. What is gold standard? Explain the different forms of gold standard. [14]

OR

What do you understand by “monetary standard”? State its main characteristics. [14]

Question 3. What are the principles of note-issue? Discuss the salient features of these principles. [14]

OR

Explain the various methods for the issue of paper currency notes. Which method is adopted by the Reserve Bank of India? [14]

Question 4. Discuss the Cash Balance Theory of money. [14]

OR

Critically analyse the Keynesian Theory of Money. [14]

Question 5. Discuss the features of various types of inflation. [14]

OR

Distinguish between inflation and deflation. Is deflation worse than inflation? [14]

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